

Make Your Business Global with **Stablecoins** and **Lazerpay**

This article explains the basics of Stablecoin cryptocurrency and how it can be integrated into your business model to make it global.



In January this year Elon Musk announced that Tesla merchandise stores will accept Dogecoin as payment. This shot the coin price up by 14 per cent, though it fell back later. Similarly, last year, Bitcoin prices also jumped manifold after Tesla announced it had invested in it and would soon allow customers to buy their cars with this cryptocurrency. The company later scrapped that idea, citing unrealistic energy usage to keep the Bitcoin blockchain functioning.

These irrational crypto price fluctuations may not be good for businesses but there are definite patterns suggesting companies should start accepting payments in cryptos and take their ventures global. Transactions on blockchain don't involve a centralised banking system, which even after existing for centuries is still not truly meant for global businesses. Transaction limits, foreign exchange fees and

charges, unpredictability of time in transferring funds are the very reasons cryptocurrencies have become a great alternative for businesses to build a global presence. Not to mention that these work the same around the world, with all the transactions recorded on a decentralised public ledger called blockchain. Whether you sell software services or digital products or airline tickets, you can leverage the power of Web3 to truly operate your business on a global scale. But price fluctuations remain a challenge.

Enter Stablecoins

Unlike cryptocurrencies like Bitcoin and Dogecoin, which are prone to skyrocket and crash ten times a day, the Stablecoin cryptocurrency's price (as the name suggests) remains pretty much stable and is not prone to such volatility. By definition, a Stablecoin is a digital currency whose value is tied to another

asset with a stable price. The value may be tied to traditional fiat currencies like US dollars or pounds, or to precious metals like gold, or algorithms that are proven to be stable and non-volatile.

Let's understand each category of Stablecoins with examples.

Fiat-backed Stablecoins: Values of these types of Stablecoins are tied to traditional fiat currencies. As an example, a Stablecoin called USDT, which is pegged to the fiat US dollar (\$) will have dollar reserves to back every Tether created. It will also remain at the same value as the dollar (~1 USDT = 1 US\$). How is this possible, you may ask? Well, if the Stablecoin's price moves higher or lower than the fiat, an arbitrageur – a qualified professional who monitors these irregularities in value – quickly brings the price back to its normal rate by varying the supply of USDT. So if the USDT is selling at a value